

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

Stocks

As Warren Buffet, the world's most famous billionaire investor once said:

"Most people get interested in stocks when everyone else is. The time to get interested is when no one else is. You can't buy what is popular and do well."

This is one area of investment where I have seen people shying away saying it is too risky to invest in stocks. I have also seen even my close relatives borrow money and invest everything they had in stocks resulting in families being wiped out financially, even having to sell their houses.

I have always believed in an old saying "knowledge removes fear". Since the topic itself is so sensitive, let us first try and gain some awareness about stocks. Even if you never buy a single stock but invest in bonds and mutual funds, you still need to have a good understanding of how the stock market works.

Let us start with a very simple example.